

or even e-commerce. Data from Sebi shows that entities like Zerodha Broking, PhonePe, Helios Capital Management, Emkay Global Financial Services, Angel One, Alchemy Capital Management, Capitalmind (Wizemarkets Analytics) and Bajaj Finserv, among others, have applied for registration to launch mutual fund companies. Further, the recent past has seen names like Navi Mutual Fund, Samco Mutual Fund, NJ Mutual Fund and WhiteOak Capital Mutual Fund launch their schemes in the country.

Experts believe that the new players will have to create a niche for themselves with differentiated products as cost is not the biggest factor to play with in the MF space, unlike in many other sectors. Plus, the segment is strictly regulated with many aspects standardised, and the incumbents are already operating in a completely digital manner, making it all the more difficult for new entrants to pitch technology as a game changer.

Most certainly, this battle is going to be a fiercer one, and no matter which way the pendulum finally swings, it won't be a cakewalk for the digital natives.

CURRENTLY, PRODUCTS are key in the MF space," says Swarup Mohanty, CEO of Mirae Asset Investment Managers (India). "Gone are the days when brand power alone attracted investors. The scope has moved from a 'good brand' to a 'good product', though large players still dominate the MF segment." Mohanty would know as his relatively young fund house is close to entering the Top 10 club in terms of AUM. Incidentally, Mirae has filed documents for schemes with investment themes like cloud computing, clean energy, artificial intelligence, and electric vehicles.



EN ROUTE TO ACTION

Firms that have applied for a mutual fund licence and are awaiting in-principle approval

ABIRA SECURITIES

EMKAY GLOBAL FINANCIAL SERVICES

PHONEPE

ANGEL ONE

OLD BRIDGE CAPITAL MANAGEMENT

ALCHEMY CAPITAL MANAGEMENT

UNIFI CAPITAL

WIZEMARKETS ANALYTICS

Firms that have received in-principle approval and are awaiting final approval

HELIOS CAPITAL MANAGEMENT

FRONTLINE CAPITAL SERVICES

ZERODHA BROKING

BAJAJ FINSERV

SOURCE SEBI

But Mirae is not alone. The arena of innovative schemes is seeing heightened action as the new players make their debut. Navi Mutual Fund, backed by Flipkart Co-founder Sachin Bansal, plans to offer investors thematic funds on metaverse, IoT, blockchain, and gold mining companies. Then, Samco Mutual Fund recently launched a Tax Saver Equity Linked Savings Scheme (ELSS) with a difference. "We are actually India's first mid- and small-cap focussed ELSS. It is a differentiated proposition within the active space," says Jimeet Modi, Founder & Group CEO of SAMCO, the MF's parent company that is also into broking and wealth management. "We are in the business of offering differentiated strategies to investors and creating wealth for them. The key operating idea is that an asset management company needs to keep finding strategies that are not available in the market." Most ELSS schemes invest majorly in large-caps, so SAMCO's marks a shift in strategy.

Similarly, WhiteOak Capital Mutual Fund launched its maiden equity scheme this July while highlighting that the fund house employs a proprietary cash flow-based analytical and valuation framework, which provides unique insights in contrast to accounting earnings-based models. "In investment management, the disruption has to come from the ability to deliver superior performance or superior product innovation. It is not about transaction efficiency or costs alone," says Aashish P. Somaiyaa, CEO of WhiteOak Capital Asset Management, a part of WhiteOak Capital, which is into investment management and advisory services.

Interestingly, Vasanth Kamath, Founder & CEO of small-case Technologies, a company